Medicaid Spending Statewide

Social Services Appropriations Committee January 27, 2026

Summary

This issue brief summarizes FY 2025 statewide spending on Medicaid of $1,052,068,100 General Fund and Income Tax Fund ($5,600,168,400 total funds). Totals represent 35% of all General Fund spending statewide and 10% of all General Fund, Income Tax Fund, and Uniform School Fund spending statewide. Other entities provided $702,758,600 or 40% of the matching funds used to draw down $3,845,341,700 in federal funds in FY 2025. This brief is for informational purposes only and requires no Legislative action.

Discussion and Analysis

Four State government entities (Department of Health and Human Services, Department of Workforce Services as well as the Office of Inspector General and the Attorney General primarily via its Medicaid Fraud Control Unit) together with the University of Utah Hospitals and Clinics spent $5,600,168,400 total funds in FY 2025 on Medicaid. The table below details the FY 2025 statewide spending on Medicaid by each entity:

Medicaid Spending by State Entity in FY 2025		
Entity	**Money Spent**	**% of Total**
Department of Health and Human Services	$ 4,612,137,600	82%
University of Utah Hospitals & Clinics	$ 918,464,000	16%
Department of Workforce Services	$ 61,345,500	1%
Medicaid Fraud Control Unit	$ 4,179,600	0.1%
Office of the Inspector General	$ 4,041,700	0.1%
Total	**$ 5,600,168,400**	**100%**

Of the $5,600,168,400 total funds spent on Medicaid in FY 2025, 4% or $210,470,800 went for State administration. The other 96% or $5,389,697,600 paid for medical services. Included in the 96% for Medicaid services is approximately $159 million paid in FY 2025 to managed care organizations for their administrative efforts. The federal government provided 69% or $3,845,341,700 of the total funding (including federal offsets of $159,635,200 from other revenue sources) with the remaining $1,754,826,700 or 31% from matching funds.

Of the $1,754,826,700 in matching funds, the State General Fund and Income Tax Fund provided $1,052,068,100 or 60% and other entities provided the remaining $702,758,600. Generally, these entities are seeding money because those entities are receiving additional federal match. The table on the following page details the purposes and sources of the seed money, the matching provided by other entities as well as the State's General and Income Tax Funds.

The $1,052,068,100 General and Income Tax Fund spent on Medicaid represents 35% of all the $3,017,604,900 General Fund spending statewide in FY 2025 and 10% of all the

Matching Funds	Source	FY 2025	% State Funding	General/ Income Tax Fund	% of All
Department of Health and Human Services	State	$ 913,484,200	100%	$ 913,484,200	52%
Hospital Assessment	State	$ 184,715,500	0%	$ -	11%
Sales Tax 0.15% Add On	State	$ 146,766,100	0%	$ -	8%
Mental Health Services	Counties	$ 85,292,500	84%	$ 71,578,800	5%
Pharmacy Rebates	Companies	$ 73,865,500	0%	$ -	4%
Physician Enhancement	U Hospital	$ 59,943,400	0%	$ -	3%
Inpatient Payment Seeds	U Hospital	$ 52,899,700	0%	$ -	3%
Nursing Facility Upper Payment Limit	Local Gov.	$ 50,724,000	0%	$ -	3%
Nursing Home Assessment	Companies	$ 43,483,100	0%	$ -	2%
Outpatient Hospital Upper Payment Limit	U Hospital	$ 36,809,300	0%	$ -	2%
Medicaid Restricted Account	State	$ 30,550,000	100%	$ 30,550,000	2%
Department of Workforce Services	State	$ 17,385,300	66%	$ 11,424,400	1%
School Districts	Schools	$ 16,330,700	52%	$ 8,492,000	1%
Disproportionate Share Hospital	U Hospital, Counties	$ 10,788,500	0%	$ -	1%
Substance Abuse Services	Counties	$ 8,985,400	72%	$ 6,497,800	1%
Ambulance Assessment	Companies	$ 8,437,300	0%	$ -	0%
University of Utah School of Dentistry	State	$ 6,087,100	41%	$ 2,495,700	0%
Family Health	State	$ 2,727,800	100%	$ 2,727,800	0%
Office of Inspector General	State	$ 1,695,600	100%	$ 1,695,600	0%
Medicaid Fraud Control Unit	State	$ 996,400	100%	$ 996,400	0%
Local Health Departments	Counties	$ 818,100	100%	$ 818,100	0%
Utah Schools for the Deaf and Blind	State	$ 615,400	100%	$ 615,400	0%
Tobacco Settlement Account	State	$ 573,000	0%	$ -	0%
Corrections	State	$ 431,000	100%	$ 431,000	0%
Data, Systems & Evaluation	State	$ 208,100	100%	$ 208,100	0%
Nurse Aid Registry	DATC	$ 95,200	0%	$ -	0%
Cigarette Tax Restricted Account	State	$ 65,700	0%	$ -	0%
Population Health	State	$ 48,200	100%	$ 48,200	0%
Alternative Eligibility Account	State	$ 4,600	100%	$ 4,600	0%
Total		**$ 1,754,826,700**	**60%**	**$ 1,052,068,100**	100%

$10,133,614,900 General Fund, Income Tax Fund, and Uniform School Fund spending statewide in FY 2025.

Offsets to Medicaid Expenditures

There are five general categories of offsets to Medicaid expenditures, which totaled $517,239,300 in FY 2025. Most offsets result in the Medicaid program avoiding a payment, but in some cases the Medicaid program uses the money collected to offset the total expenditures. The list below includes a discussion of each offset.

1. Pharmacy rebates – the State collected $233,500,700, which includes $159,635,200 in federal offsets, in rebates from volume discounts which the program used to offset expenditures.
2. Third party liability – Medicaid charged/collected $234,268,000 from third parties (Medicare, private insurance, or parties causing medical injury to Medicaid clients). The Department of Health and Human Services reports that 24% of Medicaid clients had another medical insurance.
3. Client contributions – Medicaid clients contributed $24,292,100 to participate in the Medicaid program. The list below includes a discussion of three categories in which client contributions take place:
    a. Spenddown Income – clients spent down or paid $14,947,200 of their income to participate in the Medicaid program. This spenddown allows the client to qualify for Medicaid by lowering their income via qualified medical expenses.
    b. Probate – the State recovered $8,233,500 from estates assigned to the State when an individual began receiving Medicaid benefits. This represents 1.6% of all spending in FY 2025 on nursing homes and Intermediate Care Facilities for Individuals with Intellectual Disabilities.
    c. Co-payments – these are reduced from the reimbursement paid to providers and represented $1,111,400 or 0.02% of all expenditures in FY 2025. Ninety percent of the co-payments came from pharmacy co-payments.
4. Office of Inspector General, Attorney General, and Department of Health and Human Services Collections – these three agencies recovered $22,413,500 in overpayments to providers.
5. Recovery Audit Contractor – this contractor received $2,765,000 in overpayments to providers.

What Roles Does Each State Agency Play in Medicaid?

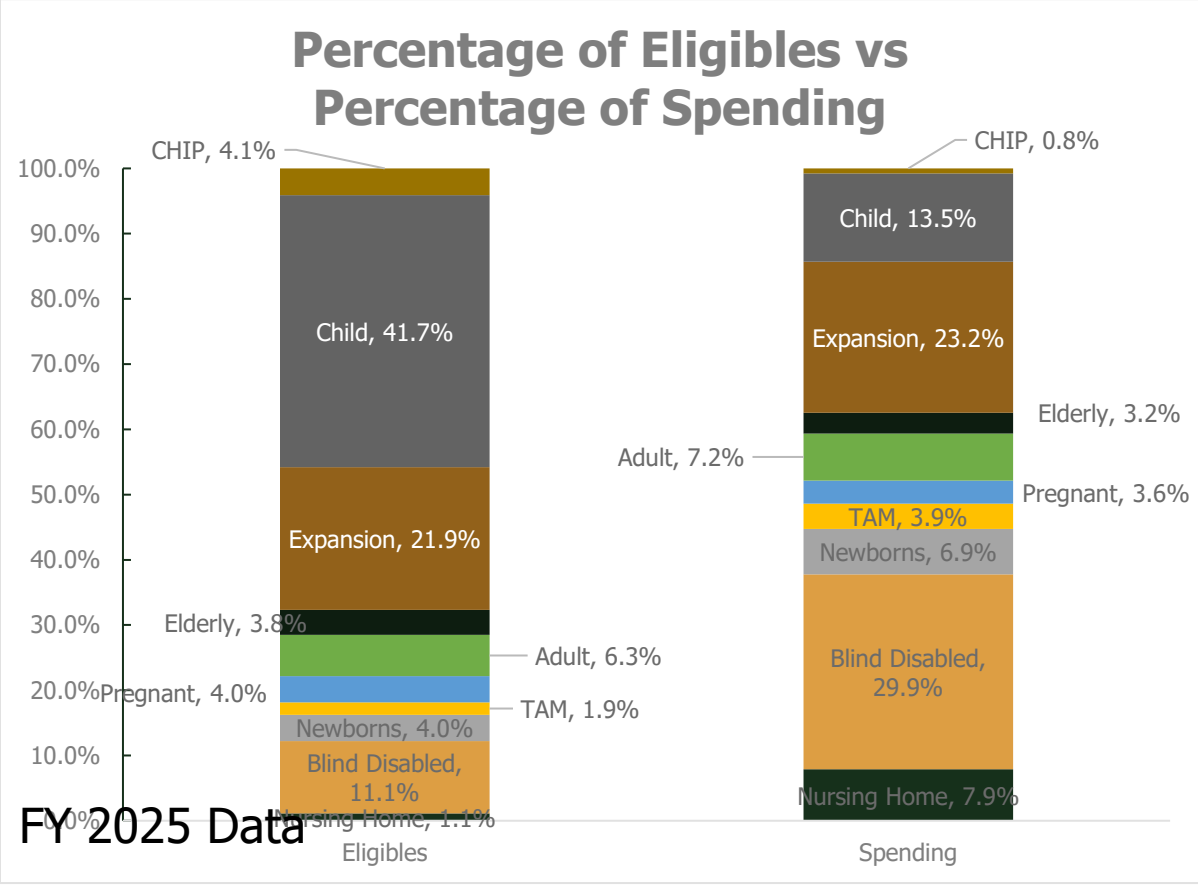
1. Department of Health and Human Services – as per federal regulation all Medicaid money flows through the Department of Health and Human Services and flows out to others via memorandums of understanding/contracts. The Department oversees Medicaid expenditures and reimburses providers for medical services. The Department directly provides or contracts for Medicaid services to persons with disabilities, families in

crisis, youth in the criminal justice system, and individuals who have mental health or substance abuse problems.

2. Department of Workforce Services – the Department determines the vast majority of eligibility for Medicaid clients.
3. Office of Inspector General – reviews accuracy of Medicaid billings to identify fraud, waste and abuse within the program and conducts performance audits of Medicaid controls to ensure program efficiency.
4. Attorney General's Medicaid Fraud Control Unit – this unit investigates and prosecutes provider fraud and abuse in Medicaid. Attorneys in the Department of Health and Human Services provide additional legal support to Medicaid.

The tables below and on the following page have a summary of eligibles vs expenditures in table and graphic form:

If you take the percentage of total spending by each eligibility group divided by the percentage of total number of eligibles for each eligibility group, the following groups are the three most expensive: (1) nursing home, (2) visually impaired and people with disabilities, and (3) Targeted Adult Medicaid.



FY 2025 Data

Category	Eligibles	Spending	Spending/ Eligibles	Rank Most Expensive
Nursing Home	1.1%	7.9%	7.0	1
Visually Impaired and People with Disabilities	11.1%	29.9%	2.7	2
Targeted Adult Medicaid (TAM)	1.9%	3.9%	2.0	3
Newborns	4.0%	6.9%	1.7	4
Adult (Ages 19-64)	6.3%	7.2%	1.1	5
Expansion	21.9%	23.2%	1.1	6
Pregnant Women	4.0%	3.6%	0.9	7
The Elderly (Ages 65+)	3.8%	3.2%	0.8	8
Children	41.7%	13.5%	0.3	9
CHIP	4.1%	0.8%	0.2	10

Medicaid Mental Health - County(s) or Contracted Providers - Fiscal Year 2025							
Provider Group	Money Seeded for Services	Money for Admin Fee	% Admin Charged	Total Seeded	State Funds	County Funds	% County Match
Bear River	$ 4,362,697	$ 119,058	2.7%	$ 4,481,800	$ 3,882,775	$ 599,025	13%
Central Utah	$ 1,387,538	$ 49,121	3.5%	$ 1,436,700	$ 1,149,360	$ 287,340	20%
Davis County	$ 7,827,677	$ 212,597	2.7%	$ 8,040,300	$ 6,227,100	$ 1,813,200	23%
Four Corners	$ 1,747,989	$ 63,491	3.6%	$ 1,811,500	$ 1,449,200	$ 362,300	20%
Northeastern/Uintah Basin & San Juan County	$ 3,671,446	$ 111,210	3.0%	$ 3,782,700	$ 3,552,716	$ 229,984	6%
Salt Lake County	$ 30,467,682	$ 798,208	2.6%	$ 31,265,900	$28,480,828	$ 2,785,072	9%
Southwest	$ 6,065,510	$ 150,694	2.5%	$ 6,216,200	$ 5,332,270	$ 883,930	14%
Summit County	$ 154,472	$ 5,897	3.8%	$ 160,400	$ -	$ 160,400	100%
Tooele County	$ 2,230,052	$ 72,549	3.3%	$ 2,302,600	$ 690,778	$ 1,721,006	75%
Wasatch (Utah & Wasatch	$ 14,065,156	$ 383,819	2.7%	$ 14,449,000	$11,559,205	$ 2,889,795	20%
Weber County	$ 7,217,829	$ 195,524	2.7%	$ 7,413,400	$ 5,954,740	$ 1,488,685	20%
FY 2025 Total	**$ 79,198,000**	**$ 2,162,200**	**2.7%**	**$ 81,360,500**	**$ 68,279,000**	**$ 13,220,700**	**16%**

County Seeded Funds

The two tables (above and on the page below) show the amount seeded for Medicaid by county mental health provider and substance abuse provider as well as the source of those seeded funds as self-reported by each county. For Medicaid mental health of the $81,360,500 match money provided in FY 2025 $13,220,700 or 16% came from county funds with the remaining $68,279,000 or 84% coming from State funds provided to counties. For Medicaid substance abuse of the $9,017,900 match money provided in FY 2025 $2,686,700 or 30% came from county funds with the remaining $6,521,300 or 72% coming from State funds provided to counties.

Medicaid Substance Abuse - County(s) or Contracted Providers - Fiscal Year 2025							
Provider Group	Money Seeded for Services	Money for Admin Fee	% Admin Charged	Total Seeded	State Funds	County Funds	% County Match
Bear River	$ 244,438	$ 13,667	5.6%	$ 258,100	$ 205,912	$ 52,188	20%
Central Utah	$ 345,580	$ 11,442	3.3%	$ 357,000	$ 285,600	$ 71,400	20%
Davis County	$ 637,300	$ 17,170	2.7%	$ 654,500	$ 395,400	$ 259,100	40%
Four Corners	$ 259,160	$ 10,482	4.0%	$ 269,600	$ 215,680	$ 53,920	20%
Northeastern/Uintah Basin	$ 221,808	$ 7,842	3.5%	$ 229,700	$ 150,364	$ 79,336	35%
Salt Lake County	$ 4,299,648	$ 116,519	2.7%	$ 4,416,200	$ 2,994,530	$ 1,421,670	32%
San Juan County			0.0%	$ -	$ 127,355	$ 28,477	0%
Southwest	$ 499,632	$ 12,413	2.5%	$ 512,000	$ 264,100	$ 247,900	48%
Summit County	$ (4,989)	$ (1,173)	23.5%	$ (6,200)	$ -	$ (6,200)	100%
Tooele County	$ 149,852	$ 8,363	5.6%	$ 158,200	$ 148,440	$ 44,044	28%
Wasatch (Utah & Wasatch	$ 990,774	$ 27,150	2.7%	$ 1,017,900	$ 814,320	$ 203,580	20%
Weber County	$ 1,120,282	$ 30,609	2.7%	$ 1,150,900	$ 919,571	$ 231,329	20%
FY 2025 Total	**$ 8,763,500**	**$ 254,500**	**2.9%**	**$ 9,017,900**	**$ 6,521,300**	**$ 2,686,700**	**30%**

Matching Funds, What Are the Non-state Sources?

The categories below explain all the matching fund categories sources over $10,000 in the table on page two that do not come from the General Fund and/or Income Tax Fund:

1. Hospital Assessments - Hospitals pay an assessment on all inpatient visits, which the Department of Health and Human Services uses to pay higher Medicaid reimbursement rates to hospitals. For the Medicaid Expansion population, hospitals pay an additional assessment.
2. Sales Tax 0.15% Add On – Utah voters passed Proposition 3 in 2018 which added a 0.15% sales tax statewide beginning April 2019 to help pay for the costs of Medicaid expansion.
3. Capitated Mental Health – the money comes from the counties' general fund. There is a minimum required match of 20% from the counties for State General Fund received.
4. Pharmacy Rebates – The Department of Health and Human Services: "negotiates supplemental rebates with manufacturers for increased offsets. In addition, the state receives primary rebates which are negotiated by the federal government."
5. Physician Enhancement - University of Utah Medical Group provides match money to receive reimbursement up to the average commercial rate for its physicians.
6. Inpatient Payment Seeds – this is the University of Utah Hospital's contribution to participate in the Inpatient Upper Payment Limit supplemental payment program.
7. Nursing Facility Upper Payment Limit – local government owned nursing homes provide seed money to increase their reimbursement rates.
8. Nursing Home Assessment – Nursing homes pay an assessment on all non-Medicare bed days, which the Department of Health and Human Services uses to pay higher Medicaid reimbursement rates to nursing homes.

9. Outpatient Hospital Upper Payment Limit – Health and Human Services: "Government owned hospitals provide seed money to participate in the Outpatient Upper Payment Limit supplemental payment program."
10. Workforce Services – "certain local governments, hospitals, and school districts provide match money to house an eligibility worker on site to assist clients."
11. School Districts - local education agencies providing Medicaid services at school for Medicaid-eligible children.
12. Disproportionate Share Hospital – Government owned hospitals that serve a disproportionate share of Medicaid and uninsured patients provide seed money to receive a supplemental payment. The intent of the payment is to offset some of the hospitals' uncompensated costs in serving these individuals.
13. Substance Abuse - the money comes from the counties' general fund. There is a minimum required match of 20% from the counties for State General Fund received.
14. Ambulance Assessment - Ambulance service providers pay an assessment on all ground transports, which the department uses to pay higher Medicaid reimbursement rates to ground ambulance service providers.
15. University of Utah School of Dentistry – the School of Dentistry provides match funds which are used to draw down federal funds to serve clients not previously eligible for dental services.
16. Utah Schools for the Deaf and Blind (USDB) – Health and Human Services: "USDB provides early intervention services for Medicaid eligible individuals."
17. Tobacco Settlement Account – funds from the Master Tobacco Settlement Agreement, please see https://cobi.utah.gov/fund/1320 for more information.
18. Cigarette Tax Restricted Account – funds from taxes on cigarettes, please see https://cobi.utah.gov/fund/1221 for more information.
19. Nurse Aide Registry – Health and Human Services: "The Davis Technical College provides training and competency evaluation programs to individuals who provide nursing or nursing-related services to residents in a nursing facility in accordance with the requirements of Titles 18 and 19 of the Social Security Act."

For more information about seed money from intergovernmental transfers, please see the annual report from the Department of Health available at https://le.utah.gov/interim/2025/pdf/00004184.pdf.

Sources

The financial information for this brief originates primarily from information provided by the Department of Health and Human Services.

Notes

- The expenditures in this brief include deposits into the Medicaid ACA Fund.

- Different from last year, this brief compares all Medicaid State funds vs General, Income Tax, and Uniform School Fund. This is the first year that Uniform School Fund is included in the denominator.